1 | Entering leasing market –Key insights

- ERB currently holds a **leading position** in the **retail auto loan segment** with **~20% market share** of the total retail market (incl. leasing).
- Market is **gradually shifting** from **ownership** to **usership** with leasing expected to represent **~40%** of the total **Retail[1] RAR market** by **2030.**
- **If Eurobank does not enter the retail leasing,** its **retail market share** will **reduce** to **~15%** by 2030 (i.e., it maintains its position in autoloan).
- Currently the **retail market** is led by:
    - **Rent-a-Car companies** (e.g., Hertz, Avis) and **Greek dealer Groups** (e.g., Sfakianakis group) **providing operating leasing omnichannel;**
    - **New-generation mobility players** (e.g., Spotawheel, Instacar, FlexCar) offering **fully-digital solutions,** mostly focused on subscription (<12 months).
- At the same time, **leading global Corporate LeaseCos** (e.g., Arval, Ayvens) **are expanding into Retail[1] segments** through white-label offerings via dealers.
- **Dealers** are currently **dissatisfied with existing players**, mainly due to **lack of control** of **customer relationship**; this creates an opportunity for Eurobank to enter with a **distinctive model** that puts **dealers at the center**, allowing them to manage the services and client relationship.
- There are **2 alternative options for Eurobank to enter the market**
    1. **Grow organically, starting from financial leasing and progressively build an operating lease offering:** +10-15M€ RAR upside by 2030, but higher time-to-market and execution risk linked with build-up of internal capabilities (35-45 FTEs hiring) - although example of successful entrance exist (e.g., Spotawheel in Greece, Huk-Coburg in Germany); preliminary capex assessment highlighted that Eurobank can leverage Eurobank leasing current core leasing system with limited capex required to upgrade the module;
    2. **Grow inorganically through a JV with a Leasco (A)** (6-8 M€ RAR) or **an acquisition of a specialized player (B)** in the market (potential RAR depending on target), resulting in an easier route to market leveraging on partner/target capabilities.
- **Preliminary assessment** of **option 2** highlighted **limited feasibility** for the **inorganic entry routes**:
    - **A. JV with a Leasco**: no strategic rationale identified, as most LeaseCos already serve all customer segments and offer white-label solutions through dealers, reducing their incentive to partner with Eurobank.
    - **B. Acquisition of a specialized player:** Spotawheel identified as the main viable target, but already evaluated and discarded due to strategic misalignment with ERB strategy, particularly with its car trading activities, and limited scalability (e.g., excel based model);
- To determine the best path forward, a **detailed business case** is needed for **option 1**, including **yearly opex** and **capex** to **assess ROI**, while for option 2, a **deeper feasibility assessment** is **recommended** to validate the initial view that the Greek market may offer limited opportunities

1. Individual (incl. freelancers and personal companies) and SME

1 | 3 strategic options for Eurobank to enter the market, with organic development as the most feasible

Focus of the document | Low | High

Preliminary assessment highlighted that ERB can leverage ERB Leasing core leasing system with limited Capex required to parametrize the module

		Description	PBT in 2030[1]	Capex	Time-to-market	Execution risk	Feasibility (preliminary)
A	**Grow organically starting from financial lease**	Develop organically a **branded offering** for **financial lease and operating lease** leveraging **dealers for services**	**~10-14M€** **~11-15M€ RAR** and **~1-2M€ Opex**; value at stake **fully captured by ERB**	**TBD** **Leasing tools** (contract mgt., remarketing) **IT development** (RV, pricing), **marketing**	**12-24 months** Time to **recruit** and **build greenfield processes in-house** (e.g., RV, pricing, remarketing)	Recruiting **scarce capabilities** in Greece (~40 FTEs)	Example of **successful banks** developing an organic lease offering
B: **Grow inorganically**	i **Form a JV with a LeaseCo**	Partner with a **LeaseCo** to access its **established capabilities** and share profits within a JV	Potential **higher market share** in the market, but value at stake **shared with partner**	**TBD** Integration of **partner's existing tools** with **dealers** **Marketing** investments	**~12 months** Typical timing to **build a JV and go live**	**Integration** with the **dealer**	**No strategic rationale identified** for a LeaseCo to partner with ERB (e.g., already cover all segments and offer white-label solutions via dealers)
B: **Grow inorganically**	ii **Buy an existing player** (target)	Acquire a player to leverage its **established capabilities** and **customer base**	*Depending on target* Value at stake **fully captured by ERB**	*Depending on target* Integration of **target's existing systems** with ERB's	**~12 months** Typical timing between **negotiation and closing**	**Integration risk** with current **ERB processes**	**No viable Greek target identified so far**– either not aligned with ERB's dealer strategy (e.g., digital players), lack scalable capabilities, or have complex ownership (e.g., Flexcar)

1. Opex includes only FTE expenses; to be sized ammortisation and other operating expenses